

Around the end of June 2010, or early July, [Panarin] says, the U.S. will break into six pieces—with Alaska reverting to Russian control ... California will form the nucleus of what he calls “The Californian Republic,” and will be part of China or under Chinese influence. Texas will be the heart of “The Texas Republic,” a cluster of states that will go to Mexico or fall under Mexican influence. Washington, D.C., and New York will be part of an “Atlantic America” that may join the European Union. Canada will grab a group of Northern states Prof. Panarin calls “The Central North American Republic.” Hawaii, he suggests, will be a protectorate of Japan or China, and Alaska will be subsumed into Russia.⁵⁵

This was not the ramblings of a backroom blog or tinfoil-hat newsletter. This was on the front page of the most prestigious financial newspaper in the world.

It is fine to be pessimistic about the economy. It’s even OK to be apocalyptic. History is full of examples of countries experiencing not just recessions, but disintegrations.

The interesting thing about Panarin-type stories is that their polar opposite—forecasts of outrageous optimism—are rarely taken as seriously as prophets of doom.

Take Japan in the late 1940s. The nation was gutted by defeat from World War II in every way—economically, industrially, culturally, socially. A brutal winter in 1946 caused a famine that limited food to less than 800 calories per person per day.⁵⁶

Imagine if a Japanese academic had written a newspaper article during this time that said:

Chin up, everyone. Within our lifetime our economy will grow to almost 15 times the size it was before the end of the war. Our life expectancy will nearly double. Our stock market will produce returns like any country in history has rarely seen. We will go more than 40 years without ever seeing unemployment top 6%. We will become a world leader in electronic innovation and corporate managerial systems. Before long we will be so rich that we will own some of the most prized real estate in the United States. Americans, by the way, will be our closest ally and will try to copy our economic insights.

They would have been summarily laughed out of the room and asked to seek a medical evaluation.

Keep in mind the description above is *what actually happened* in Japan in the generation after the war. But the mirror opposite of Panarin looks absurd in a way a forecast of doom doesn’t.